



ACCOUNTING POLICY PAPER MODIFICATION AND EXTINGUISHMENT

SOCIAL HEALTH AUTHORITY

22nd May 2026

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IFRS 17 Insurance Contracts establishes principles for the recognition, measurement, presentation and disclosure of insurance contracts within the scope of the Standard. The objective of IFRS 17 is to ensure that an entity provides relevant information that faithfully represents those contracts. This information gives a basis for users of financial statements to assess the effect that insurance contracts have on the entity's financial position, financial performance and cash flows.

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OUR REF

Social Health Authority \IFRS 17 Implementation Support\ Social Health Authority – Accounting Policy Paper – Modification and Extinguishment_ (220526)

DOCUMENT PURPOSE

Submission to the Management of the Social Health Authority.

DOCUMENT OWNERSHIP

The owner of this document is the Social Health Authority.

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ABBREVIATIONS & DEFINITIONS

NAME	DEFINITION
FCF	Fulfillment Cash Flows
IBNR	Incurred But Not Reported
IFRS	International Financial Reporting Standard
KAFS	Kenbright Actuarial & Financial Services Limited
LIC	Liability For Incurred Claims
LRC	Liability For Remaining Coverage
PAA	Premium Allocation Approach
SHA	Social Health Authority

1 INTRODUCTION

Background

- 1.1 The Social Health Authority ('SHA') is a statutory agency established under Section 4 of the Social Health Insurance Act, which was enacted on 22nd November 2023 to succeed the National Hospital Insurance Fund (NHIF) as Kenya's primary health coverage provider.
- 1.2 NHIF ceased its operations on **30th June 2024**, with its final admissions date being 30th September 2024. The transition period, spanning from November 2023 to mid-2024, involved the legal transfer of assets, liabilities and functions. SHA officially commenced its operations on **1st October 2024**.
- 1.3 SHA operates under the Social Health Insurance Act and manages four funds:
 - a) Primary Healthcare Fund (PHCF);
 - b) Social Health Insurance Fund (SHIF); and
 - c) Emergency, Chronic, and Critical Illness Fund (ECCIF);
 - d) Public Officer Medical Scheme Fund (POMSF).
- 1.4 SHA is mandated to pool contributions from individuals, employers and the government in order to purchase healthcare services from empaneled and controlled healthcare providers and pay for the provision of quality healthcare services to members and their beneficiaries.
- 1.5 IFRS 17 is a standard issued by the International Accounting Standards Board (IASB) that establishes a single, global standard specifically designed for accounting of insurance contracts.
- 1.6 The standard ensures that entities provide relevant, consistent and comparable information that reflects the financial position, performance, and risk exposure associated with insurance activities.

Purpose

- 1.7 This policy paper provides a guideline for the modification and extinguishment of insurance contracts under IFRS 17 that Social Health Authority ("SHA") will adopt.
- 1.8 Under IFRS 17, modification involves significant changes to contract terms that may result in derecognition and recognition of a new contract. Extinguishment refers to the full settlement or cancellation of the contract.
- 1.9 While SHA is not a commercial insurer, it adopts the principles of IFRS 17 to enhance transparency, ensure responsible management of public funds, and enable consistent reporting across the funds.
- 1.10 This paper outlines:
 - a) When a modification leads to derecognition and recognition of a new contract;
 - b) How to treat financial implications of contract termination; and
 - c) Required disclosures under IFRS 17.
- 1.11 It provides detailed procedures for identifying, evaluating, and accounting for such changes.

Objective

- 1.12 The primary objective of this policy paper is to ensure that all modified or extinguished contracts issued by SHA are accounted for in accordance with IFRS 17 by:
- a) Providing procedures for documenting and approving modifications.
 - b) Providing detailed accounting treatments for both modifications and extinguishments.
 - c) Outlining disclosure requirements per IFRS 17.
- 1.13 Implementation of the procedures and accounting treatments outlined in this policy paper, ensures consistent and IFRS 17-compliant financial reporting for all modifications and extinguishments of insurance contracts within SHA.

Scope

- 1.14 This policy applies to all insurance contracts administered by SHA and outlines the principles and procedures to be followed when assessing, accounting for and disclosing modifications or extinguishments in accordance with IFRS 17.
- 1.15 This includes both individual contracts and groups of contracts managed collectively by SHA.

2 MODIFICATION OF INSURANCE CONTRACTS

- 2.1 A contract that qualifies as an insurance contract remains so until all rights and obligations are extinguished unless the contract is derecognized because of contract modifications.
- 2.2 An insurance contract, under IFRS 17, is an agreement between an insurer (the entity providing coverage) and a policyholder (the individual or entity receiving coverage) that has an identifiable insurance risk, coverage obligations, contribution payments and contractual terms.
- 2.3 Paragraph B25 of the IFRS 17 standard states that:

A contract that meets the definition of an insurance contract remains an insurance contract until all rights and obligations are extinguished (i.e. discharged, cancelled, or expired), unless the contract is derecognized, because of a contract modification.

- 2.4 Modification of insurance contracts will only occur by agreement between the parties or as result of change in regulation.

Significant Changes

- 2.5 IFRS 17 requires that if the terms of an insurance contract are modified, SHA will derecognize the original contract and recognize the modified contract as a new contract if and only if:
 - a) Modification terms were included at inception.
 - b) Modification excludes the contract from the scope of IFRS 17, applying paragraph 3-8.
 - c) Modification changes contract boundary significantly.
 - d) Modification changes the group of contracts it belongs to e.g. different cohort, portfolio, is now onerous, etc.
 - e) Modification now includes distinct non-insurance goods or services that needs to be separated.
 - f) The modifications means that the contract does not meet the criteria for PAA even though it was originally meeting these criteria.
- 2.6 If a contract modification meets none of the conditions above for derecognition, SHA shall treat any changes in cash flows caused by the modification as changes in the estimates of the fulfilment cash flows will apply the subsequent measurement principles.

2.7 Derecognition of insurance contracts will only occur:

- a) If SHA has no other obligations with the registered member because it is extinguished (expired / discharged/ cancelled); or
- b) If any changes for modification which result to derecognition are met.

2.8 When a contract accounted for under the PAA is derecognized, any net difference between the removed portion of the liability for remaining coverage (LRC) and related cash flows is immediately recognized in profit or loss.

2.9 When new contracts are added to a group as part of a modification, the LRC must be adjusted to reflect the additional contracts.

3 EXTINGUISHMENT OF INSURANCE CONTRACTS

- 3.1 Extinguishment of insurance contracts refers to the complete removal of an insurance contract from the financial statements of an entity. This means that the entity is no longer obligated to transfer economic resources to satisfy the insurance contract.
- 3.2 Extinguishment of an insurance contract will occur if;
- a) SHA has settled all claims and benefits payable under the contract and has no further obligations remaining.
 - b) SHA and the registered member agree to terminate the contract early. This often involves a lump sum payment or negotiated settlement to settle any future claims. However, such terminations are NOT permitted under SHA's statutory framework.
- 3.3 Under IFRS 17 insurance contracts paragraph 75 states that:

When an insurance contract is extinguished, the entity is no longer at risk and is therefore no longer required to transfer any economic resources to satisfy the insurance contract. For example, when an entity buys insurance, it shall derecognize the underlying insurance contract(s) when, and only when, the underlying insurance contract(s) is or are extinguished.

- 3.4 SHA will consider the timing of extinguishment and must make sure that the related financial impacts are accurately captured.

4 ACCOUNTING TREATMENT

For Derecognition resulting from extinguishment

- 4.1 Derecognition due to extinguishment usually happens with contracts where there's no longer a liability for remaining coverage.
- 4.2 When an insurance contract is derecognized, IFRS 17 outlines specific procedures that must be followed. These procedures ensure that the financial statements accurately reflect the elimination of the derecognized contract's obligations and the impact on the group of contracts to which it belonged.
- 4.3 Derecognition of an insurance contract from within a group of insurance contracts will require: -
- a) Fulfilment cash flows allocated to the group for both liability for incurred claims and liability for remaining coverage are adjusted to eliminate the present value of these future cash flows and risk adjustments for non-financial risk that are related to derecognized contracts.
 - b) The LRC is adjusted by the amount of unearned contributions associated with the derecognized contracts. This reflects the fact that the entity no longer has the obligation to provide coverage under the derecognized contract. The unearned contributions related to the derecognized contract is no longer recognized as revenue over time.
 - c) The number of coverage units for expected remaining coverage is adjusted to reflect the coverage units derecognised from the group. To ensure that the profit recognised in profit or loss for providing insurance services is based on the remaining coverage.

For Derecognition resulting from transfer

- 4.4 Under the current SHA legal framework, insurance contracts cannot be transferred to third parties outside SHA. Therefore, derecognition due to transfer is NOT applicable to SHA operations.

For Derecognition resulting from modification

- 4.5 When an original insurance contract administered by SHA is modified to the extent that it meets the IFRS 17 criteria for derecognition and recognition of a new contract, SHA will adjust the fulfilment cash flows to reflect the derecognition of the original contract.
- 4.6 This ensures that the Liability for Remaining Coverage (LRC) for the remaining group of contracts reflects only the continuing obligations.
- 4.7 Adjustments to the LRC following such modifications ensure that SHA's financial statements present an accurate view of the impact of the contract changes. This includes capturing changes in expected future cash flows, risk adjustments, and any resulting impact on insurance liabilities.

5 DISCLOSURES

- 5.1 The disclosure requirements for modifications and extinguishment of insurance contracts under IFRS 17 are designed to enhance transparency and provide stakeholders with a comprehensive understanding of an entity's financial position and performance.
- 5.2 When preparing disclosures for modifications and extinguishment of insurance contracts, SHA will ensure that disclosures are clear, detailed, and provide a comprehensive understanding of the transactions.

Disclosure Requirements for Modification

- 5.3 SHA must disclose the nature and reasons for any modifications to insurance contracts, including a detailed explanation of the changes and the rationale, such as regulatory adjustments or agreements with the registered member.
- 5.4 SHA must also disclose the financial implications of modifications to their financial statements including adjustment to fulfilment cashflows, adjustment to the liability for remaining coverage (LRC) and the impacts on profit or loss.
- 5.5 If modification results in a change to the group of contracts to which the modified contract belongs, SHA must disclose the reclassification of contracts and impacts of the reclassification on the group metrics such as fulfilment of cashflows and LRC.

Disclosure Requirements for Extinguishment

- 5.6 SHA will further disclose details about any extinguishment events stating the nature of the extinguishment and when the extinguishment occurred.
- 5.7 SHA will also be required to provide information about the financial implications of extinguishment such as elimination of fulfilment cashflows, how the LRC has been adjusted to reflect the extinguishment and the reclassification of other comprehensive income.
- 5.8 IFRS 17 also requires SHA to disclose any remaining obligations or contingent liabilities related to extinguished contracts by providing a description of any obligations that continue to exist after the extinguishment and the financial impact of these obligations on future cashflows.

6 RELEVANT IFRS 17 TEXT

Refer to the IFRS 17 Standard available online at the address below

<https://www.ifrs.org/content/dam/ifrs/publications/pdf-standards/english/2022/issued/part-a/ifrs-17-insurance-contracts.pdf?bypass=on>

This policy has been adopted and signed by the Board of Management of Social Health Authority on this _____ day of
_____ 2026.

Chief Executive Officer:

Signature:

Appointed Actuary:

Ezekiel Macharia

Signature:

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